The Honest Company Analysis

Ticker: HNST | January 8th

Market Cap: $3.43B
Looking for signs of an undervalued company (identifying improvement, not perfection)

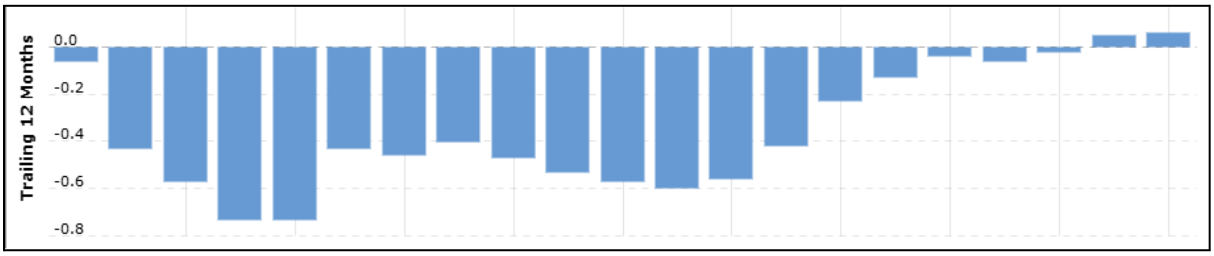
Grading System

Grade	Position Size
85+	2.5%
80-84	2%
75-79	1.5%
70-74	1%
65-69	0.5%
Less than 65	Avoid

Fundamentals:

Earnings Trend TTM - Shows profitability growth

First profitable year: 10 points	Loss narrowing/near break even: 8 points	Stable profitability: 5 points	Deepening losses: 0 points



Source: Macrotrends (retrieved Jan 2026)

Honest shows impressive EPS growth in the last two years, going from -$0.56 to $0.06. This marks its first profitable year, earning 10 points in this category.

Institutional Ownership - In before the big players, but not entering value traps

25-40%: 10 points	40-60%: 6 points	Over 60% or under 25%: 0 points

Breakdown	
12.66%	% of Shares Held by All Insider
47.95%	% of Shares Held by Institutions
54.90%	% of Float Held by Institutions
188	Number of Institutions Holding Shares

With 48% institutional ownership, Honest has a stable foundation of institutional support and retail investors without too much institutional exposure. It earns 6 points in the category.

Source: Yahoo Finance (retrieved Jan 2026)

P/B vs Industry - Shows over/undervaluation compared to industry

30-60% below peers: 10 points	10-30% below peers: 8 points	Within 3%: 5 points	Above peers: 0 points

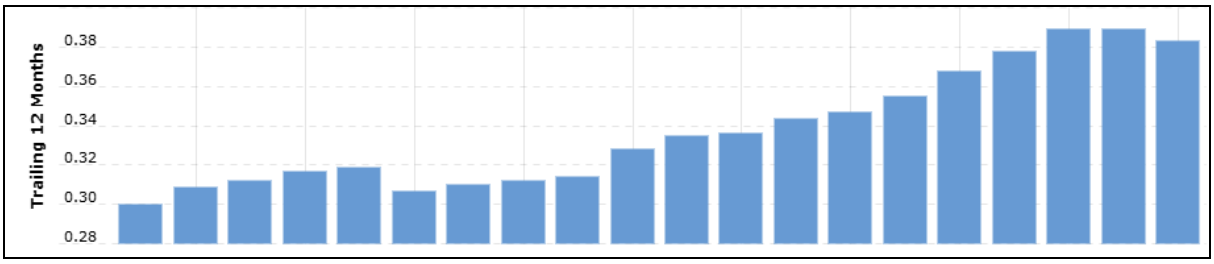
P/E	42.90
Forward P/E	52.47
PEG	-
P/S	0.77
P/B	1.55

With an impressive P/B of 1.55, Honest is 75% below its industry average of 6.10. It earns 10 points in this category.

Source: Finviz (retrieved Jan 2026)

Revenue Growth Trend YoY - Shows revenue growth over the years

Negative to flat to positive: 10 points	Explosive growth (30%+): 8 points	Stable growth: 5 points	Declining: 0 points

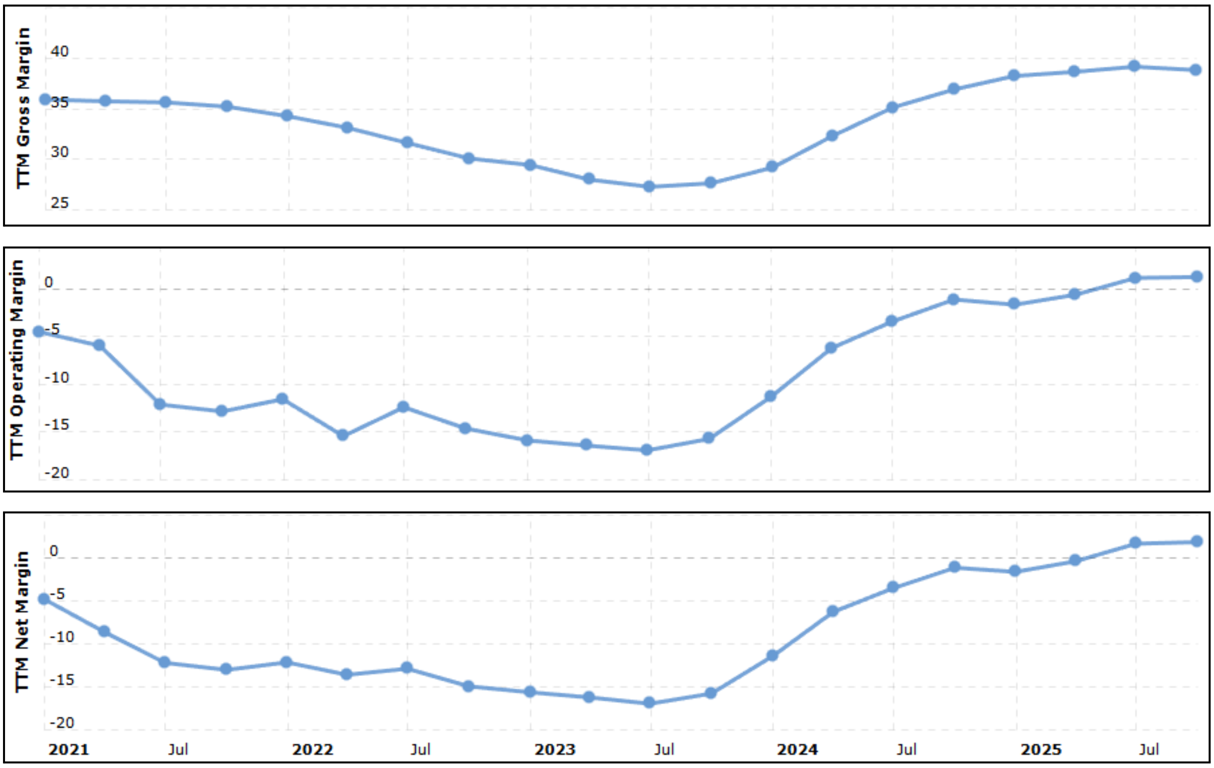


Source: Macrotrends (retrieved Jan 2026)

Despite Honest's recent quarter, it displays moderate revenue growth, increasing its revenue consistently over the last three years. It has increased its revenue by 22% between Q3 of 2022 and Q3 of 2025. It earns 5 points in this category.

Margin Expansion - Shows a company is keeping more money from each sale

Expanding over 3% YoY: 10 points	Stable and rising: 7 points	Flat/declining: 0 points

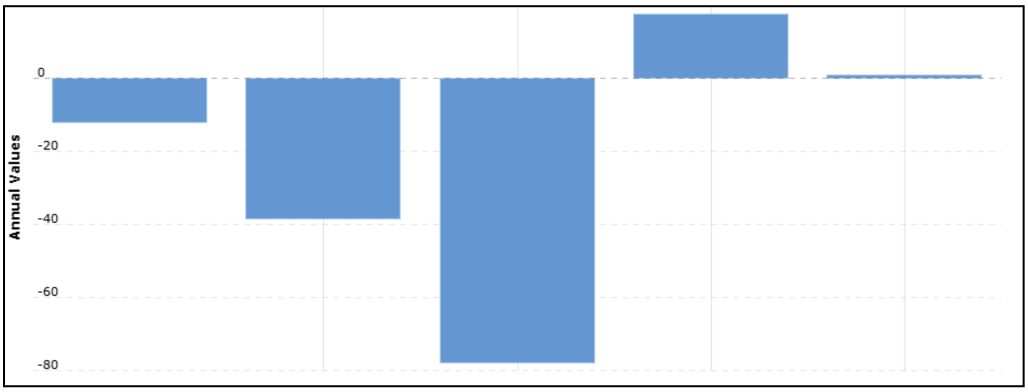


Source: Macrotrends (retrieved Jan 2026)

Honest has demonstrated stable and rising margins since Q2 of 2023 after many consistent declining years. From Q1 of 2024 to Q2 of 2025, Honest has increased its gross margins by 6.32%, its operating margins by 5.57%, and its net margins by 5.89%. As of Q3 of 2025, its margin expansion has slowed down, however, because of its successful year, it earns 10 points in this category.

Free Cash Flow - Shows how much cash the company has left after its costs

Recently turned positive: 10 points	Stable: 6 points	Negative but improving: 3 points	Negative: 0 points



Source: Macrotrends (retrieved Jan 2026)

Honest's free cash flow has decreased since Q4 of 2023, however, this is likely the result of increased production spending as its EPS and revenue growth suggest that it has had its first profitable year. It also still remains positive, earning Honest 6 points in this category.

Bonus

Inside activity: 10 points	Short interest dropping 10%: 10 points	Product/Contract news: 10 points

THE HONEST COMPANY REPORTS Q3 PROFIT, UNVEILS 'TRANSFORMATION 2.0' TO REFOCUS ON CORE BUSINESS

Posted by Global Cosmetics News | Nov 6, 2025 | Finance, Manufacturing, North America |

Source: https://www.globalcosmeticsnews.com/the-honest-company-to-exit-dtc-sales-as-part-of-turnaround-plan/

The Honest Company has completely shifted its gears and is shutting down its direct-to-consumer sales and physical stores. It has released its "Transformation 2.0", which focuses on providing wholesale products to retail chains. Its goal is to reduce operations and improve profitability. However, since this news is a directional change that comes with uncertainty and not a major catalyst, it only earns 5 points for this news.

The Honest Company's Fundamental Score: 52/60

Technicals:

Support/Resistance Zones - Shows key zones where trends may reverse

Bounced off lowest support (at least 5%): 9 points	Broken through lowest resistance or second support: 6 points	Midway between support and resistance: 4 points	Below lowest support or above highest resistance: 0 points

Based on Honest's one year chart, the lowest support sits at $2.33, which it has currently bounced off of by 14.6% to its current price of $2.67. It also has a support line at $3.81 and $4.67. It has key resistance lines at $5.49 and a high resistance at $8.87 which it tested on November 25, 2024. It earns 9 points in this category as it signifies a strong trend reversal.

Chart Pattern - Identifies bullish or bearish trend reversals

Cup & handle, bullish flag, bullish triangle, or bullish wedge: 8 points	Double bottom or base breakout: 4 points	Range-bound but tightening: 2 points	No chart pattern or bullish pattern: 0 points

Honest is currently in a falling wedge pattern following a slight bullish recovery from a strong downtrend. This suggests that both bullish and bearish sentiment have slowed down and has become uncertain. It only earns 2 points in this category as a bullish swing is uncertain.

Price vs MAs - Compares current price to the average price during that period

Golden cross with price over 200MA but under 50MA: 8 points	Golden cross with price over both 200MA and 50MA: 6 points	No cross or price over 50MA: 3 points	Death Cross or Price under 200MA: 0 points

A golden cross has formed today on the weekly chart, with the price above both the 50MA and 200MA. This suggests that bullish sentiment has begun to increase and the price has risen with momentum. It earns 6 points in this category.

RSI (14) - Determines if it is overbought or oversold using the magnitude of price changes

0-30: 7 points	31-45: 4 points	46-69: 2 points	Over 70: 0 points

Honest has an RSI of 61, indicating that bullish momentum has driven the price up. This is a positive sign, providing a positive outlook for the falling wedge pattern. However, due to its high valuation, it is close to entering overbought territory. It earns 2 points in this category.

Volume - Shows how many shares are traded during the period

Rising volume for 3+ green days: 8 points	Rising volume: 6 points	High volume breakouts: 3 points	Declining/flat volume: 0 points

On January 5th, 7th, and 8th, Honest opened with strong bullish volume and maintained the bullish sentiment throughout most of these days. On January 6th, Honest opened with a spike in bearish volume, however, it maintained bullish volume throughout most of the day. This signifies that bullish sentiment has begun to overpower the bearish sentiment. It earns 8 points in this category.

The Honest Company's Technical Score: 27/40

The Honest Company's Final Score: 79/100

The Honest Company displays very strong fundamental growth, marking its first profitable year with an impressive price-to-book ratio, increasing profit margins, and a complete business model transformation aimed at expanding its success. However, its technical signals are mixed, not showing any clear signs of a strong bullish reversal. It is important to continue to watch the company's share price performance to identify buying opportunities and assess the risks.

Final analysis of The Honest Company: A moderate buy of 1.5% with a price target of $3.81 (43% upside) and $4.67 (75%) if bullish momentum continues.